

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 24-17

SAMSUNG ELECTRONICS AMERICA, INC.,

Complainant,

v.

ORIENT OVERSEAS CONTAINER LINE, LIMITED AND OOCL
(EUROPE) LTD.

Respondents and Third-Party Complainants,

v.

SAMSUNG ELECTRONICS COMPANY, LTD.,

Third-Party Respondent.

**THIRD-PARTY RESPONDENT'S REPLY TO RESPONDENTS' OPPOSITION TO
THIRD- PARTY RESPONDENT'S MOTION TO DISMISS RESPONDENTS' THIRD-
PARTY COMPLAINT**

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Third-Party Respondent Samsung Electronics Co., Ltd. s/h/a Samsung Electronics Company, Ltd. (“Third-Party Respondent” or “SEC”), having specially appeared by its undersigned attorneys for the limited purpose of filing SEC’s Motion to Dismiss the Third-Party Complaint of Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL” or “Respondents”)(Doc. No. 32), respectfully submits this reply to the opposition to the motion filed by Respondents (Doc. No. 33)(“Opp. Mem.”).

INTRODUCTION

The premise of the SEC Motion to Dismiss the Third-Party Complaint is straightforward: since SEC is located in the Republic of Korea (“Korea”) and the applicable FMC procedural rule requires that a third-party complaint be served on SEC by mail to SEC’s address in Korea,¹ the application of the procedures set out in Convention on the Service Abroad of Judicial and Extrajudicial Documents in Civil and Commercial Matters, November 15, 1965, 20 U.S.T. 361, T.I.A.S. No. 6638 (the “Hague Convention”) are mandatory. As those procedures have not been followed in this matter, the Third-Party Complaint must be dismissed.

To begin, the extraneous arguments asserted by OOCL have no bearing on this motion, including OOCL’s reference to alleged service contracts entered into by SEC, unfounded allegations concerning SEC’s use of Samsung Electronics America, Inc. (“SEA”) as a “foil,” or the frivolous but creative argument that SEA’s demurrage claims are part of some nefarious conspiracy by which SEC seeks to recover freight payments made to OOCL. (Opp. Mem. at 1-2). Such arguments may well be addressed by SEA or SEC (if and when it is a party to this case) at

¹ By letter dated February 19, 2025, the Secretary reported that the second attempt to serve SEC in Korea by mail was not successful. (Doc. No. 35.)

some point in the context of these proceedings, but at this juncture, the Presiding Officer need only address the service of process issue.²

A quotation from OOCL's submission succinctly encapsulates its opposition: "The facts gleaned from the public records described in the [Declaration of Stacey Normington, dated February 13, 2025 (Doc. No. 34)]("Normington Decl."), coupled with its retention of counsel who has appeared in this action and filed the within Motion, leave no question that [SEC] has been properly served pursuant to the FMC rules and has received adequate notice of the Third-Party Complaint." (Opp. Mem. at 4).

None of OOCL's points leading to its assertion that proper service has been made in this matter withstand scrutiny.

ARGUMENT

I. Other Litigation Involving SEC is Wholly Irrelevant

While OOCL obviously expended a good deal of time and effort in compiling material related to SEC's involvement in U.S. litigation, there is no articulated argument associated with the compilation. OOCL does not argue that the other cases create an issue of judicial or collateral estoppel, or that somehow SEC has waived the right to invoke the Hague Convention here because it may have waived its application in other matters. Thus, other than a *tour de force* example of the range and scope of electronic data searches, OOCL's efforts really do not amount to anything at all.

Simply put: a party's waiver of a right in one matter has absolutely no relevance or impact on that party's exercise of that right in completely separate matter.

² OOCL has requested that the commencement of discovery in this matter be stayed pending the decisions on SEC's motion and SEA's motion to dismiss OOCL's counterclaim against it. (Opp. Mem. at 1, 11-12). As SEC is not yet a party to this action, it would not be appropriate for SEC comment on OOCL's request, other than to note that SEA has opposed it. (Doc. No. 30 at 5).

For example, in *Barber v. New Jersey*, Civil Action No. 24-3202(ZNQ)(RLS), 2024 WL 4563911 (D.N.J. Oct. 24, 2024), the plaintiff sought to excuse improper service of process by arguing that service by the same (improper) method had been previously accepted by defendants in other cases. The court disagreed:

Plaintiff argues that in other cases involving the same subject matter, the defendants in those cases accepted service at the nursing homes...Thus, Plaintiff argues that service should be proper at the nursing home in this case. The Court rejects this argument. Plaintiff has provided no authority to support the notion that a different defendant's agreement, or even the same defendant's agreement, to accept service in one matter somehow waives its right to refuse service for another.

Id. at *3 n. 7 (citations omitted).

This fundamental principle of U.S. jurisprudence is certainly not limited to service of process matters but applies across the board:

Before discussing plaintiffs' [other] arguments, the court must briefly address their claim that [defendant] should be judicially estopped from invoking the arbitration clause. Plaintiffs expend a great deal of ink describing numerous other lawsuits against [defendant] in which the company has not invoked the arbitration clause, and has chosen instead to litigate. Plaintiffs...urge the court to exercise its equitable power of judicial estoppel to prevent [defendant] from arguing here that the arbitration clause is in fact binding...Plaintiffs' argument is totally without merit, however, as there is nothing inconsistent about seeking to compel arbitration in one case and litigating in another case, since a party can waive its right to compel arbitration...Plaintiffs' argument for judicial estoppel is little more than invective. The court accordingly declines the invitation to exercise its equitable power of judicial estoppel.

Damato v. Time Warner Cable, Inc., No. 13-CV-994(ARR)(RML), 2013 WL 3968765, *4 (E.D.N.Y. Jul. 31, 2013)(citations omitted). *See also In re: Atrium Medical Corp. C-Qur Mesh Prods. Liability Litigation (MDL No. 2753)*, 299 F. Supp. 3d 324, 330 n. 1 (D.N.H. 2017)(“To the extent plaintiffs intended to argue that [defendant]’s failure to challenge personal jurisdiction in other cases operates as a waiver of the defense, the argument is without merit. As [defendant] points out, consent to jurisdiction in one case does not constitute a waiver of a jurisdictional

defense in another case.”); *In re: Syngenta AG Mir 162 Corn Litigation*, Case No. 14-md-2591-JWL, *et al.*, 2016 WL 2866166, *7 (D. Kan. May 17, 2016)(“[T]here is no basis here for an exception to the general rule that a defendant does not waive [an affirmative] defense in one case by failing to assert in another.”); *Conrad v. Batz*, 13-cv-475-bbc, 2014 WL 12725826, *2 (W.D. Wisc. Feb. 24, 2014)(“I am not aware of any authority to support the proposition that the failure to raise an issue in one case bars a party from raising it in another case.”); *In re Townsend*, 84 B.R. 764, 766 (Bankr. N.D. Fla. 1988)(“Counsel has not provided any authority nor has the Court been able to find any authority to support the proposition that the waiver of an objection to venue in one case should bar by waiver or estoppel a similar objection in another case.”); *Aninao v. U.S. Bank Trust Nat’l Ass’n*, No. 3:24-cv-108, 2024 WL 3534923, *2 (S.D. Tex. Jun. 24, 2024)(waiver of removal rights in one case does not implicate removal rights in another).

Much like the plaintiff in *Damato*, in this matter OOCL has expended “a great deal of ink describing numerous other lawsuits” involving SEC in which the company has waived the procedures required by the Hague Convention. However, as in *Damato*, all that work simply amounts to “invective” and nothing more.

II. The Appearance of Counsel does not Obviate the Requirement of Proper Service

OOCL presents no authority for the proposition that the limited appearance of SEC’s counsel and the filing of the motion herein constitutes or is an aspect of proper service.³

The law on this issue is contrary to OOCL’s assertion.

It is well established that service on an attorney who is not authorized to accept service is not good service. *See Mhina v. Bank of America, N.A.*, 23-96-cv, 2023 WL 6873045, *2 (2d Cir.

³ By way of its letter dated January 29, 2025 (Doc. No. 31), the Secretary stated that the Third-Party Complaint would be sent to SEC’s counsel by email. To date, no such email has been received by undersigned counsel. More importantly, there is no reference to service by email on a party’s counsel in FMC Rule 113, 46 C.F.R. § 502.113(b).

Oct. 18, 2023)(district court’s dismissal of complaint under Rule 12(b)(5) was not an abuse of discretion where service had been made on an attorney not authorized to accept service on defendants’ behalf); *Santos v. State Farm Fire and Cas. Co.*, 902 F.2d 1092, 1094 (2d Cir. 1990)(since plaintiff had shown no basis for an inference that defendant had authorized its attorney to accept service, such service was ineffective).

The fact that SEC and its counsel are aware of the Third-Party Complaint is irrelevant to whether proper service has been made in this matter.

III. Notice of a Proceeding does not Equate to Proper Service

Throughout its opposition, OOCL appears to conflate notice of a proceeding with service: this is incorrect.

Proper service of process is not merely a routine ministerial act; rather it is fundamental to any court’s or this Commission’s exercise of personal jurisdiction over a defendant or respondent:

Service of process, under longstanding tradition in our system of justice, is fundamental to any procedural imposition on a named defendant...

In the absence of service of process (or waiver of service by the defendant), a court ordinarily may not exercise power over a party the complaint names as defendant...Accordingly, one becomes a party officially, and is required to take action in that capacity only upon service of a summons or other authority-asserting measure stating the time within which the party must appear and defend.

Murphy Bros., Inc. v. Michetti Pipe Stringing, Inc., 526 U.S. 344, 350 (1999)(citations omitted).

Moreover, whether a defendant had notice of the proceedings is not relevant to the issue of proper service. *See Mid-Continent Wood Prods., Inc. v. Harris*, 936 F.2d 297, 301 (7th Cir. 1991)(“This court has long recognized that valid service of process is necessary in order to assert personal jurisdiction over a defendant...Moreover, it is well-recognized that a ‘defendant’s actual notice of the litigation...is insufficient to satisfy Rule 4’s requirements.’”)(quoting *Way v. Mueller Brass Co.*, 840 F.2d 303, 306 (5th Cir. 1988)).

SEC reiterates that whatever “notice” it has received, such notice does not obviate the need for proper service.

IV. Other Agency Decisions do not Cure the Defect in Service in this Matter

OOCL places significant reliance on an agency decision in *In re Taotao USA, Inc., et al.*, Environmental Protection Agency (“EPA”), Docket No. CAA-HQ-2015-8065, Jun. 21, 2016 (Biro, Ch. ALJ)(unpublished)(“ALJ Decision”),⁴ which was subsequently affirmed in *Taotao USA, Inc. v. U.S. Environmental Protection Agency*, Civ. Action No. 20-cv-915(BAH), 2022 WL 969651 (D.D.C. Mar. 31, 2022), *aff’d*, No. 22-5225, 2023 WL 1484707 (D.C. Cir. Feb. 1, 2023). Despite OOCL’s assertion, *Taotao* is not relevant to SEC’s motion, nor does it provide any support to OOCL’s opposition.

The EPA administrative enforcement action was brought against three entities, two located in China and one in the U.S. ALJ Decision at 1. Under the EPA rules: “Where respondent is a domestic or foreign corporation...complainant shall serve an officer, partner, a managing or general partner, or any other person authorized by appointment or by Federal or State law to receive service of process.” *Id.* at 2. As noted by the EPA Chief ALJ, both Chinese respondents had “authorized by appointment” the U.S. entity to receive service of process on their behalf, and “As such, [the U.S. entity] was clearly and explicitly authorized by appointment to receive service of process on behalf of [the Chinese entities]...” *Id.* at 3.

As noted by the District Court:

[T]he leading case on this issue is *Volkswagenwerk Aktiengesellschaft v. Schlunk*, 486 U.S. 694 (1988). In *Schlunk*, the Supreme Court addressed when the Hague Service Convention would govern the method of service that must be used to serve foreign defendants. The Court concluded that the Convention does not prescribe a standard for determining when service of process is legally sufficient and thus “[i]f the internal law of the forum state defines the applicable method of serving process

⁴ A copy of the decision was provided by OOCL as Ex. E to the Normington Decl.

as requiring the transmittal of documents abroad,’ only then would the rules of the Hague Service Convention apply to service of process. *Id.* at 700.

Taotao, 2022 WL 969651 at *15. The EPA Rules did not require the “transmittal of documents abroad” but instead allowed the EPA to serve the duly appointed U.S.-based agent of the foreign-based entities and thus the Hague Convention requirements were not applicable. *Id.*

The FMC Rule for the service of process stands in stark contrast to the EPA Rules in *Taotao*. The only means of service allowed by the FMC Rule is by mail and, as twice was attempted here, the mailing necessarily required “the transmittal of documents abroad.” As such, and consistent with *Schlunk*, the Hague Convention applies to the service of FMC complaints on entities located in foreign jurisdictions.

The two other federal agency decisions cited by OOCL in support of its opposition are in fact inapposite to the issue before the Presiding Judge.

OOCL cites *Securities Exchange Comm’n v. Global Investment Strategy UK Ltd.*, 20 Civ. 10838(AKH), 2021 WL 48996127 (S.D.N.Y. Oct. 19, 2021) for the proposition that service by registered mail to a foreign address was permissible. (Opp. Mem. at 8). *Global Investment*, however, has no relevance to the matter at hand. In that case, the court noted that the Hague Convention applied and the plaintiff had in fact complied with its dictates. The key to the decision is the fact that the defendant was domiciled in the United Kingdom which is a Hague Convention jurisdiction that has not objected to service of process by international mail (*Id.* at *2). That is not the situation in Korea.

OOCL then cites *Commodity Futures Trading Comm’n v. Caniff*, Case No. 19-cv-2935, 2020 WL 956302 (N.D. Ill. Feb. 27, 2020), for the proposition that alternate service by email is permissible. (Opp. Mem. at 8). However, key to that court’s decision to allow alternate service by email was the fact that the foreign defendant was located in the Netherlands which is a Hague

Convention signatory that has not objected to international service through postal channels. *Id.* at *6. Again, Korea has so objected.

In this matter, the FMC Rule does not allow for service by email. Moreover, even if such a procedure were available, the viability of such service should not be guided by *Caniff*. Instead, the relevant guidance is provided in those decisions considering the availability of service by email where the foreign jurisdiction has, like Korea, objected to direct service on the defendant by post. *See Habas Sinai ve Tibbi Gazlar Istihsal A.S. v. Int’l Tech. & Know. Co., Inc.*, Civil Action No. 19-608, 2019 WL 7049504, *4 (W.D. Pa. Dec. 23, 2019)(as Turkey objects to the means of service in Article 10 of the Hague Convention, service by email on a party in Turkey is not allowed); *Luxottica Group S.p.A. v. The Partnerships and Unincorporated Ass’ns Identified on Schedule “A”*, 391 F. Supp. 3d 816, 826-27 (N.D. Ill. 2019)(same: China).

SEC respectfully submits that Respondents have not submitted any legitimate grounds to challenge the basic proposition advanced by SEC: the FMC is required to serve pleadings such as the Third-Party Complaint by mail to the address provided by the Complainant. As that address is in Korea, the provisions of the Hague Convention mandatorily apply. The provisions of the Convention call for service through the Korean Central Authority and include the requirement that the documents to be served are accompanied by copies of the documents translated into the Korean language. Neither provision having been complied with, the Third-Party Complaint must be dismissed due to the insufficiency of the service of process.

CONCLUSION

For the reasons stated in the SEC Motion to Dismiss and herein, given the failure to serve process in accordance with the Hague Convention, the Third-Party Complaint should be dismissed.

Accordingly, pursuant to Fed. R. Civ. P. 12(b)(5), 46 C.F.R. §§ 502.69, 502.70, and 502.254, Third-Party Respondent SEC respectfully moves for an Order:

1. Dismissing with prejudice OOCL's Third-Party Complaint in its entirety;
2. Granting SEC its attorneys' fees and costs in connection with this Motion to Dismiss; and,
3. Granting SEC all such other and further relief as may be just and proper.

Dated: February 20, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I hereby certify that I have this day served the foregoing document by electronic mail upon the following persons/addresses:

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